11.	2023-1366300 CANNELL CAPITAL, LLC vs. BAKER TILLY US, LLP	Defendants Baker Tilly US LLP and Ernest Miranda's Motion to Compel Arbitration is granted. Defendants Baker Tilly US LLP ("Baker Tilly") and Ernest Miranda ("Miranda," together with Baker Tilly, "Defendants") move for an order compelling arbitration of all claims in the Complaint by Plaintiffs Cannell Capital, LLC, Tristan Partners, L.P., Tonga Partners, L.P., Tristan Offshore Fund, Ltd., Dugong, LLC, Frontier Capital, Ltd., Drake Enterprises, Ltd., Philip Drake, Motus Advisors, Inc., Turner Momentum Investments, LLC and Michael Piper (collectively, "Plaintiffs"). Defendants contend Plaintiffs' professional negligence, negligent misrepresentation and fraud claims are subject to binding arbitration under an arbitration provision found in three engagement letters between Baker Tilly and non-party, LoanMe, Inc. ("LoanMe"), which Miranda may also enforce as the alleged agent of Baker Tilly. (Mot. at p. 10, fn. 3.) The arbitration provision states, in relevant part, that: > If mediation does not settle the dispute or claim, then the parties agree that the dispute or claim shall be settled by binding arbitration. The arbitration proceeding shall take place in the city in which the Baker Tilly office providing the relevant services is located, unless the parties mutually agree to a different location. The proceeding shall be governed by the provisions of the Federal Arbitration Act (FAA) and will proceed in accordance with the then current Arbitration Rules for Professional Accounting and Related Disputes of the AAA, except that no prehearing discovery shall be permitted unless specifically authorized by the arbitrator … Any issue concerning the extent to which any dispute is subject to arbitration, or concerning the applicability, interpretation, or enforceability of any of these procedures, shall be governed by the FAA and resolved by the arbitrators[.] (Miranda Decl. at ¶¶ 4-6, Exhs. A-C.) Although Plaintiffs are not signatories to the engagement letters, Defendants contend Plaintiffs are "estopped from avoiding arbitration," because Plaintiffs are "seeking to obtain direct benefits from a contract; and/or (2) by seeking to enforce contract terms or asserting claims that must be determined by reference to that contract." (Mot. at p. 11.) Under the "direct benefits" doctrine, a nonsignatory "is estopped from avoiding arbitration if it knowingly seeks the benefits of the contract containing the arbitration clause." (*Crowley Maritime Corp. v. Boston Old Colony Ins. Co.* (2008)

		158 Cal.App.4th 1061, 1070; accord *Noble Drilling Services, Inc. v. Certex USA, Inc.* (5th Cir. 2010) 620 F.3d 469, 473.) "To satisfy the knowledge requirement, the case law requires that the non-signatory have had actual knowledge of the contract containing the arbitration clause." (*Noble Drilling Services*, supra, 620 F.3d at 473 [direct benefits theory did not apply where no evidence supports conclusion that nonsignatory had knowledge of the agreements containing the arbitration clause until after the litigation began]; see *Deloitte Noraudit A/S v. Deloitte Haskins & Sells, U.S.* (2d Cir. 1993) 9 F.3d 1060, 1064 [non-signatory accounting firm bound by arbitration provision in settlement agreement where it received a copy of the settlement agreement, did not object thereto and knowingly accepted the benefits of the agreement by the continued use of the disputed trade name].) Here, the record does not provide sufficient information for the court to determine whether Plaintiffs had "actual knowledge" of the engagement letters. Although Plaintiffs allege they "later learned" of a "Scope of Work," (which appears to be set forth in the engagement letters), it can be inferred that they "learned" of the scope of work *after* the transaction had been completed. (See Compl. at ¶¶ 16, 19.) It is not enough that Plaintiffs may have known there was some written agreement between Baker Tilly and LoanMe. (*Pershing, L.L.C. v. Bevis* (5th Cir. 2015) 606 Fed.Appx. 754, 758 ["A nonsignatory must have specific knowledge of the relevant agreement—a nonsignatory's generalized sense that two contracting parties have a course of dealing will not satisfy this requirement"].) Thus, Defendants cannot rely on a "direct benefits" theory to meet their burden of proving the existence of a valid arbitration agreement between the parties. (*Jones v. Jacobson* (2011) 195 Cal.App.4th 1, 15.) Aside from "direct benefits," a nonsignatory plaintiff may still be estopped from refusing to arbitrate under equitable estoppel principles, when that plaintiff "brings a claim which relies on contract terms against a defendant." (*JSM Tuscany, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239.) "The equitable estoppel doctrine extends to claims that are dependent upon or inextricably intertwined with the obligations imposed by the contract containing the arbitration clause." (*Id.* at 1241 [noting that nonsignatory plaintiffs are bound in the same manner as signatory plaintiffs when pursuing such claims].) In their response, Plaintiffs insist they "are *not* suing 'on the contract' – the Engagement Letter." (Response at p. 9,

emphasis in original.) Nevertheless, Defendants claim that Plaintiffs must be depending on the engagement letters for their claims because, “[b]ut for those agreements, Baker Tilly would owe no conceivable duty to Plaintiffs,” and “Plaintiffs assert a claim for malpractice, which—by definition—requires privity of contract between Plaintiffs and Baker Tilly.” (Mot. at p. 7.) Defendants do not dictate how Plaintiffs choose to plead their claims. Even if, as Defendants contend, privity of contract is required to maintain Plaintiff’s claims, Plaintiffs may choose to disclaim any reliance on the engagement letters and allow their claims to “rise or fall” when challenged on privity. (See *Noble Drilling Services, Inc. v. Certex USA, Inc.* (5th Cir. 2010) 620 F.3d 469, 474–475 [plaintiff is not required to base its claims on purchase order agreements and by its own admission, its claims will rise or fall on the allegations not founded on the agreements].)

Upon a review of the allegations in the Complaint, it is clear that Plaintiffs *have* relied on the terms of the engagement letters in bringing their claims, despite their protestations to the contrary. Plaintiffs do not dispute that the “scope of work” alleged in the Complaint describes purported obligations Defendant owed under the engagement letters. Although Plaintiffs declined to confirm that the “source” of the “scope of work” was the engagement letters, it certainly appears that “scope of work” refers to the paragraph entitled, “Our Responsibilities and Limitations,” in the engagement letters, which is later referred to as, “the scope of our work,” under “Timing and Fees.”

“By relying on contract terms in a claim against a nonsignatory defendant, *even if not exclusively*, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.” (*Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 272, emphasis added.) “That the claims are cast in tort rather than contract does not avoid the arbitration clause.” (*Ibid.*)

While Plaintiffs do not expressly refer to the “scope of work” under their professional negligence claim, they do incorporate all the preceding allegations, (Compl. at ¶), including the allegations that:

> Plaintiffs later learned that a Scope of Work (relative to Baker Tilly’s review and audit of LoanMe) that was supposed to have been completed by Baker Tilly was not completed and/or was completed improperly *and negligently*. When Baker Tilly provided the audit, review,

		report, and financial statements of LoanMe for inclusion in the Prospectus, as part of the Transaction, it appears, based on the information available, that the referenced Scope of Work had not been completed, or had been ignored or only partially addressed by Baker Tilly… At best, these actions, inactions, malfeasance, and misfeasance on Defendants amounted to *professional negligence* and negligent misrepresentations. At worst, Defendants were involved in, had knowledge of, and/or aided and abetted in the LoanMe fraud. (Compl. at ¶ 19, emphasis added.) Plaintiffs' negligent misrepresentation claim, on the other hand, does refer directly to Baker Tilly as having been "*engaged* via a specific Scope of Work" and *"[h]ad Defendants properly and thoroughly completed the Scope of Work* and diligently investigated and reviewed LoanMe's financial condition and operations, it would have, and certainly should have, discovered that LoanMe's financial portfolio and operations and financial condition were not as was represented in the financial statements and audit opinion provided by Baker Tilly and other information provided." Defendants made misrepresentations "with no reasonable grounds for believing them to be true, in that Defendants *knew, or should have known*, that the financial condition, financial statements, and operations of LoanMe were not accurate." Defendants also "failed to discover and/or disclose certain information about the financial condition, financial statements, and operations of LoanMe that it *knew, or should have known…*" (Compl. at ¶¶ 36-37, emphasis added.) The same is true for the fraud claim, which essentially consists of the following single paragraph: In the third cause of action, and in the alternative to the claims asserted against Defendants for professional negligence and negligent misrepresentations, and upon information and belief, Plaintiffs allege that *Defendants' failure to properly complete the Scope of Work* and failed to investigate, disclose, discover, and report important and material financial and other information relative to LoanMe. The preparation and submission of the unqualified audit opinion and independent audit report, which were false, *were either intentional or done with gross and reckless disregard* as to the truth and accuracy of the information included therein so as to amount to fraud and/or knowingly and/or recklessly aiding and abetting in the LoanMe fraud. (Compl. at ¶ 43, emphasis added.)

		Plaintiffs appear to have alleged Defendants' failure to perform the "scope of work" to support the elements of a misrepresentation made without a reasonable ground for believing it to be true and an intent to deceive. Although Plaintiffs argue they "could have, and would have, asserted their claims against BT even if no Engagement Letter existed," (Opp'n at p. 10), what Plaintiffs "could have" or "would have" done is immaterial. All that is relevant is what was actually alleged. And, as shown above, Plaintiffs did, in fact, rely on duties or obligations Defendants allegedly owed via the engagement letters in formulating their claims. Thus, the Court finds Defendants have met their burden of establishing the existence of a valid arbitration agreement between the parties on the basis of equitable estoppel. Finally, because of the "clear" and "unmistakable" delegation clause in the arbitration provision, the Court finds it is the province of the arbitrators to determine whether Plaintiffs' claims are not subject to arbitration based on the defense of unconscionability. ((*B.D. v. Blizzard Entertainment, Inc.* (2022) 76 Cal.App.5th 931, 957 accord *Henry Schein, Inc. v. Archer and White Sales, Inc.* (2019) 586 U.S. 63, 68.) This is action stayed pending final resolution of the arbitration. (Code Civ. Proc., § 1281.4.) In light of the ruling, Defendants' demurrer, (which was made in the alternative), is taken off calendar. The Court sets an ADR review conference for February 4, 2025, at 9:00 am in Department N18. Defendants are ordered to give notice of the ruling.
12.	2024-1377163 Memarzadeh vs. Arnold	*Continued from 9/4/24.* Defendants Larry Millard Arnold's, Larry M. Arnold, P.C.'s, and Cummins & White, LLP's motion to compel arbitration of Plaintiff Maher Memarzadeh's claims is granted. In this matter, Plaintiff alleges causes of action for (1) breach of written contract, (2) breach of fiduciary duty, (3) breach of the implied covenant of good faith and fair dealing and (4) negligence/legal malpractice in connection with Defendants' representation of him in an underling malpractice case against his former attorney, Francisco Gutierrez.